



HEFTY PRICE TAG

The Valley Gardens, a luxury home property by DLF in Panchkula. In the past 15 months, DLF sold ₹22,000 crore in luxury homes from three major projects: The Arbour, DLF Privana West, and DLF Privana South

NCR, Bengaluru, Pune, Chennai, Hyderabad, and Kolkata—over the past few years. As per JLL, sales of luxury homes jumped 96% year-on-year in the first nine months of 2024; in fact, their share in total sales has increased from a meagre 2% in 2020 to 6% at the end of September 2024. As demand for luxury apartments and villas peaks, developers are lining up premium offerings like never before. The share of luxury homes in overall projects launched in these markets has jumped from 1% in 2020 to 8% during January–September 2024. In 2023, a total of 12,935 luxury homes were sold across the seven markets; that figure has already been matched in the first nine months of 2024. New launches, totalling 17,090 units from January to September 2024, have already surpassed the total launches of last year by 8%.

“More and more projects are coming up in the luxury category, which is the ₹5 crore and above price band. Today’s numbers are many times of what they used to be 10 years back, when some 2,500–3,000 units used to be launched in the luxury

segment,” says Abhinav Joshi, Head of Research-India, Middle East & North Africa at CBRE.

According to Ohri, the current demand for luxury real estate is primarily driven by UHNIs, HNIs, non-resident Indians (NRIs), and senior corporate professionals, including C-suite executives. “These groups [of people] are increasingly seeing real estate as a stable and resilient asset, especially in the face of economic uncertainties brought about by the pandemic. For NRIs, in particular, there has been a noticeable shift in investment priorities. The volatility in the global markets, coupled with the desire to maintain a strong connection with their homeland, has prompted many to view India as the ideal destination for real estate investment,” he explains. Additionally, steady price appreciation of luxury homes by reputed developers has also played a key role in garnering interest from HNIs. For instance, since the pandemic, prices at DLF’s The Aralias have surged from ₹12–12.5 crore to over ₹30 crore, while in The Magnolias prices have risen from ₹16–16.5 crore to ₹40 crore.

“In recent years, there has been a remarkable rise in demand for larger homes in these iconic residential developments, a trend that is going to persist. Luxury apartments have also increasingly come to be viewed as attractive investment options. Furthermore, the growing participation of NRIs will play a significant role in this segment’s growth,” says Gaur. Going ahead, there will also be an increased focus on sustainability and smart home features in such properties, Gaur adds. Overall, India’s luxury real estate appears well-positioned for continued strong growth. **BT**

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